

1 ENGROSSED HOUSE
2 BILL NO. 3417

By: Strom, West (Josh), Archer,
Crosswhite Hader,
Dobrinski, Stinson, Fugate,
Kendrix, Kelley, and McCane
of the House

and

Alvord of the Senate

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9 An Act relating to cities and towns; amending 11 O.S.
10 2021, Section 10-116, which relates to purchases and
11 sales by city manager and competitive bidding;
12 clarifying that council requirements shall be in
13 addition to the provisions of the Public Competitive
14 Bidding Act; enacting a new section to combine
15 procedures for reverse auction bidding that are
16 applicable to all political subdivisions and public
17 trusts; repealing 11 O.S. 2021, Sections 17-115 and
18 17-115.1, which relate to reverse auction bidding
19 procedure; providing for codification; and providing
20 an effective date.

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23 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

24 SECTION 1. AMENDATORY 11 O.S. 2021, Section 10-116, is
amended to read as follows:

Section 10-116. A. The city manager shall contract for,
purchase, or issue purchase authorizations for all supplies,
materials, and equipment for offices, departments, and agencies of
the city government, subject to any regulations which the council
may prescribe. Every contract or purchase exceeding an amount to be

1 established by the council shall require the prior approval of the
2 council. The city manager may also sell or transfer to or between
3 offices, departments, and agencies, surplus or obsolete supplies,
4 materials, and equipment, subject to regulations the council may
5 prescribe.

6 B. The council may prescribe requirements and procedures for
7 competitive bidding. Notice and opportunity for competitive bidding
8 shall be given before a purchase or contract for supplies,
9 materials, or equipment is made, and before a sale of any surplus or
10 obsolete supplies, materials, or equipment is made, in accordance
11 with regulations the council may prescribe. The council shall not
12 exempt a particular contract, purchase, or sale from the requirement
13 of competitive bidding. The provisions of this subsection shall be
14 in addition to the provisions of Section 140 of Title 61 of the
15 Oklahoma Statutes.

16 C. The council may transfer some or all of the power granted to
17 the city manager pursuant to the provisions of this section to an
18 employee appointed by and subordinate to the city manager.

19 SECTION 2. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section 141 of Title 61, unless there is
21 created a duplication in numbering, reads as follows:

22 A. A political subdivision or any public trust of which such
23 subdivision is beneficiary or any nonappropriated governmental
24 agency or instrumentality of the state is authorized to use a

1 reverse auction bidding procedure to obtain bids for the purchase of
2 goods or services of any type of kind. The reverse auction shall be
3 a real-time bidding process taking place at a previously scheduled
4 time and Internet location and for a previously established
5 duration, in which multiple suppliers, anonymous to each other,
6 submit bids to provide the goods or services. The reverse auction
7 procedure may be used as an alternative to any state law applicable
8 to the purchase of the goods or services.

9 B. The procedure shall provide:

10 1. A bid opening and bid closure. At the opening date and
11 time, the political subdivision or public trust shall begin
12 accepting reverse auction electronic bids. Reverse auction bids
13 shall be accepted until the bid closure, except as provided by
14 paragraph 6 of this subsection, unless the political subdivision or
15 public trust determines it is in the best interest of the political
16 subdivision or public trust to extend the closing time and notifies
17 the reverse auction bidders of the extended closing time by public
18 announcement at the Internet location at least fifteen (15) minutes
19 prior to the original closing time;

20 2. The posting of all reverse auction bids electronically and
21 updating of bids on a real-time basis by the political subdivision
22 or public trust;

23 3. The authorization for the political subdivision or public
24 trust to require bidders to register before the opening date and

1 time and, as part of that registration, require bidders to agree to
2 any terms, conditions, or other requirements of the solicitation or
3 applicable acts;

4 4. The authorization for the political subdivision or public
5 trust to also require potential bidders to prequalify as bidders and
6 to restrict solicitations to prequalified online and reverse auction
7 bidders;

8 5. The retention of the authority of the political subdivision
9 or public trust to determine the criteria that will be used as the
10 basis for making awards; and

11 6. The authorization for the political subdivision or public
12 trust to determine it is in the best interest of the municipality or
13 public trust to allow it to accept an electronic bid after the
14 specified official closing date and time, in the event the political
15 subdivision or public trust determines that a significant error or
16 event occurred that affected the electronic receipt of any reverse
17 auction bid by the political subdivision or public trust.

18 C. All bids submitted electronically through the reverse
19 auction bidding process pursuant to this section are subject to the
20 same public disclosure laws that govern bids received pursuant to
21 any other law of this state governing procurement procedures for a
22 political subdivision or public trust.

23 D. All remedies available to the political subdivision or
24 public trust and suppliers through a bid process pursuant to any

1 other law of this state are also available to the political
2 subdivision or public trust reverse auction bidders in a reverse
3 auction bidding process.

4 E. The procedures set out in this section may be used to obtain
5 acquisitions or award contracts for all needed operations or
6 purchase orders.

7 SECTION 3. REPEALER 11 O.S. 2021, Section 17-115, is
8 hereby repealed.

9 SECTION 4. REPEALER 11 O.S. 2021, Section 17-115.1, is
10 hereby repealed.

11 SECTION 5. This act shall become effective November 1, 2026.

12 Passed the House of Representatives the 24th day of March, 2026.

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Presiding Officer of the House
of Representatives

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17 Passed the Senate the ____ day of _____, 2026.

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Presiding Officer of the Senate

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